Personalised Bikes Ltd

Further substantive tests to complete the trade payables circularisation testing

Supplier not recognising client (Continuous Chain Ltd)

Confirm original order to Bike's purchase orders and confirm receipt of goods pre year-end to GRN and invoice amounts to purchase invoices received from Continuous Chain Ltd to ensure a valid trade payable at the year end. **(2 marks)**

Overseas supplier (Grindmygears Inc)

Obtain GBP:USD exchange rate, as at 30 June, from a reliable source. **(1 mark)**

Recalculate the GBP value of the USD amount quoted, as at 30 June, and confirm whether this agrees with the amount stated on Bike's ledger. **(2 marks)**

Payment in transit (Heavenly Seat Ltd)

Agree payment made by Bikes on 28 Jun to cashbook and pre year-end bank statement. **(2 marks)**

Dispute re quality of goods (Shock Absorbers Ltd)

Enquire of management as to the status of the dispute **(1 mark)**

Inspect any correspondence with Shock Absorbers Ltd to confirm reason, status and value of the dispute to determine whether it has been resolved. **(2 marks)**

Non-reply (Round Wheel Ltd)

Send a second confirmation request to the supplier. **(1 mark)**

If no reply received, perform alternative procedures:

If supplier statements are available, perform a supplier statement reconciliation to confirm the balance outstanding at year end. **(2 marks)**

Agree receipt of orders per outstanding purchase invoices to goods received notes ('GRN') confirming that goods were received pre year-end and confirm payments to supplier to post year-end payments per cashbook/bank statement. **(2 marks)**

Awaiting debit note/ returned goods not recognised by supplier (Superior Brake Pads Ltd)

Inspect ledger to determine if credit note has been received post year-end and if received agree to supporting documentation. **(2 marks)**

Confirm despatch of returned goods from Bikes warehouse pre year-end by reference to goods despatch note confirming quantity and value of goods returned. **(2 marks)**